Since he took over as Reserve Bank of India Governor a year back, SANJAY MALHOTRA has walked the fine line between sustaining growth and safeguarding stability. At the RBI's headquarters in Mumbai, he spoke to Group Editorial Director RAJ CHENGAPPA and Managing Editor M.G. ARUN on a range of economic issues, like why he considers the economy to be in a Goldilocks phase, how the repo rate cuts will push demand, whether the RBI has any plans to shore up the weakening Indian rupee, and more. Excerpts:

Q. You have had an unusually eventful term so far. Donald Trump's tariffs, whose weight India has felt unfairly, have shaken global trade. The rupee has fallen sharply. So has inflation, to a multi-year low. Yet India clocked 8.2 per cent GDP growth in Q2FY26. You have called it a Goldilocks phase for the Indian economy. What did you mean?

In economic terms, Goldilocks phase is the balance of growth and inflation. Usually, high growth leads to high inflation, and low inflation is accompanied by low growth. But we are having the best of both worlds—low inflation and high growth. That's a sweet spot to be in.

Q. Are we genuinely in a structurally strong phase of growth or is this a window created by a unique alignment of global and domestic factors?

Despite the external headwinds of geopolitical events, tensions and trade fragmentation, the Indian economy, in the first three quarters for which we have data this calendar year, has done remarkably well, both in terms of inflation, where we are at historic lows, and in growth, where we have averaged about 8 per cent. Going forward, for FY26, we are projecting growth of 7.3 per cent, and for the next two quarters of FY27, 6.7 and 6.8 per cent, respectively. Frankly, it's very difficult to precisely forecast what the numbers will be over a long period. But, yes, this sets the stage for India to do well.

Q. Where does the Indian economy stand in comparison with other world economies?

India continues to be the fastest-growing major economy in the world. The US, which is the largest economy, is growing at less than 2 per cent. China, the second largest economy, is growing at under 5 per cent. In growth outcomes, we have no competitors among all the major economies, whether in the Euro zone, the UK or Japan, in which growth hovers at around 1 per cent or less. Indonesia is the closest at about 5.0-5.5 per cent. So, we don't have any peers as far as growth numbers are concerned.

Q. How sustainable is India's Goldilocks phase? What are the risk factors?

If you look at the past four years, average GDP growth is about 8 per cent. If you look at the past decade, we had average growth of 6.6 per cent. This is due to a combination of measures the government and the central bank have taken. Number one, most importantly, policy stability and continuity that have provided certainty. There is financial stability, price stability and the continuous focus on growth because of a number of reforms and ease of doing business measures.

Q. Which reforms are you referring to?

The recent GST rationalisation was one, followed by labour reforms, the PLI schemes focusing on manufacturing and employment, and the balance sheets of the government, the private sector and the households in good shape, saw high capacity utilisations. So, overall, when you look at each sector and every area of the economy, we are in a very good phase. This should help us sustain the momentum, going forward.

ON THE GOLDILOCKS MOMENT

"USUALLY, HIGH GROWTH LEADS TO HIGH INFLATION, AND LOW INFLATION TO LOW GROWTH. BUT WE ARE HAVING THE BEST OF BOTH WORLDS—LOW INFLATION AND HIGH GROWTH, WHICH MARKS A GOLDILOCKS PHASE"

Q. While GDP growth looks great, what matters to the general public is if it'll create jobs. Is the Indian economy still growing faster than it's hiring?

While price stability and supporting growth are our main objectives, one can't overlook